



Time: 5 minutes

Outcome: Connect Market Structure, Price Taking & Firm Revenue.

Difficulty: Intermediate

Market Structure, Price Taking & Firm Revenue

THE CORE IDEA

A perfectly competitive firm takes the market price as given, so price, average revenue, and marginal revenue are equal. Market power changes the firm's revenue conditions; the competitive firm takes price. Price taking makes each sold unit add the same amount to revenue, setting up the later MR-versus-MC output rule.

HOW TO RECOGNIZE IT

- Look for many firms, a standardized product, easy entry, and no control over market price.
- A price-taking firm can sell another unit without lowering its price.
- For the competitive firm, price, average revenue, and marginal revenue are equal.
- Treat market price as a horizontal line in the individual firm's graph.

WATCH OUT

A common mistake is to separate price, average revenue, and marginal revenue for a price-taking firm. Under perfect competition, $P = AR = MR$.

WORKED EXAMPLE: REVENUE FOR A PRICE TAKER

Price-taking firm at a market price of \$25

	Price	Total revenue	MR per extra unit
Q = 48	\$25	\$1,200	\$25
Q = 49	\$25	\$1,225	\$25
Q = 50	\$25	\$1,250	\$25

The firm takes a market price of \$25. Selling 50 units yields total revenue of $\$25 \times 50 = \$1,250$. Each additional unit adds \$25 to revenue without lowering the price on earlier units. Thus $P = AR = MR$. Choosing the profit-maximizing output is a separate later step.

CHECK YOURSELF

Why does total revenue rise linearly with output?

READY?

Return to the game and master this concept.